

H-2100 MEDICAID PURCHASE PLAN (MPP)**H-2110 GENERAL INFORMATION**

The Ticket to Work and Work Incentives Improvement Act of 1999 (Public Law 106-170, also known as TWWIIA) became law on December 17, 1999. This legislation allowed states to adopt the option of allowing individuals with disabilities to purchase Medicaid coverage that is necessary to enable such individuals to work.

Act 207 of the First Extraordinary Session of 2003 of the Louisiana Legislature directed the Louisiana Department of Health (LDH) to implement a buy-in program for working persons with disabilities using the provisions of the TWWIIA effective January 1, 2004.

Effective January 1, 2014, LDH eliminated buy-in premiums from the Medicaid Purchase Plan (MPP).

Effective July 1, 2025, LDH implemented the following changes to MPP:

- Increased the countable income from less than or equal to 100% to less than or equal to 200% of the Federal Poverty Level (FPL),
- Raised the resource limit from less than \$10,000 to less than \$25,000, and
- Added buy-in premiums for individuals with income over 150% and up to 200% FPL.

To qualify for MPP coverage, an individual must:

- Have a medically determinable physical or mental impairment which meets or equals the Social Security Administration's definition of disability. Substantial gainful activity is not a factor;
- Be employed;
- Be at least age 16 but not yet age 65;
- Have countable income equal to or less than 200 percent Federal Poverty Limit (FPL);

- Have countable assets less than \$25,000; and
- Take no-cost health insurance, if available.

Beneficiaries are eligible for full Medicaid coverage.

Note:

Eligibility for this program terminates the month the beneficiary turns age 65.

H-2120 ELIGIBILITY DETERMINATION PROCESS

Determine eligibility by applying the following criteria. The elements have been listed in the most logical order, but work on all steps simultaneously.

H-2120.1 Determine Assistance Unit

The assistance unit consists of the applicant/beneficiary.

H-2120.2 Establish Categorical Requirement

Verify that the applicant/beneficiary:

- Is at least age 16, but not yet 65;
- Has a medically determinable physical or mental impairment which meets the Social Security Administration's definition of disability. Substantial gainful activity is not a factor; and
- Is employed or self-employed.

There is no minimum work or earnings requirement. Employment is defined as a reasonable work effort for which a person receives financial compensation and pays all applicable federal, state, and payroll taxes.

H-2120.3 Establish Non-Financial Eligibility

Verify eligibility for the applicant/beneficiary with regard to the following factors:

- [Assignment of Third Party Rights](#) I-200
- [Citizenship/Alien Status](#) I-300
- [Enumeration](#) I-600
- [Residence](#) I-1900
- Health insurance coverage – verify eligibility and coverage for no-cost health insurance such as Medicare Part A and certain employer sponsored group health plans.

H-2120.4 Establish Need

A. Determine Composition of the Income/Resource Unit

The income/resource unit consists of the:

- Applicant/beneficiary;
- Applicant/beneficiary and the ineligible spouse (is not aged, blind, or disabled) living in the home;
- Applicant/beneficiary who is a minor and his parent(s) living in the home. Refer to [I-1420 Need - Deeming](#); or
- Applicants/beneficiaries who are a couple.

B. Determine Need/Countable Resources

Determine the total countable resources of the resource unit including resources deemed from the parent(s). Refer to [I-1630 Need - SSI-Related Resources](#).

Compare the total countable resources to the MPP resource limit of \$25,000. Refer to [Z-900 Resource Limits by Program](#).

If the countable resources are greater than the resource limit, the applicant/beneficiary is resource ineligible for MPP.

If the countable resources are equal to or less than the resource limit, the applicant/beneficiary is resource eligible for MPP.
Continue the eligibility determination process.

C. Determine Need/Countable Income

Determine the total countable income of the income unit. Refer to [I-1530 through I-1536 – SSI Related Income](#).

Individual

If the applicant/beneficiary is an individual with no spouse or with an ineligible spouse with no income, go to Step 1.

Parent(s) to Child Deeming

If the applicant is a minor child, apply deeming [policy I-1424.2, Need – Deeming](#). Any income deemed from the parent(s) is considered unearned income of the applicant /beneficiary in the individual steps. Go to Step 1.

Complete the following budget steps:

- Step 1. Determine the total gross unearned income.
- Step 2. Subtract the \$20 Supplemental Security Income (SSI) general income disregard.
- Step 3. The remainder is the countable unearned income.
- Step 4. Determine the total gross earned income.
- Step 5. Subtract any remainder of the \$20 SSI general income disregard from the gross earnings.
- Step 6. Subtract the SSI earned income deduction from the remaining gross earnings. The earned income deduction is \$65 and one-half of the remainder of the earnings.
- Step 7. Add the remainders from Step 3 and Step 6.
- Step 8. The remainder is the total countable income.
- Step 9. Compare the total countable income to 200% FPL for one (1) person. Refer to [MEM Z-200 Federal Poverty Income Guidelines](#).

If the remainder is greater than the allowable income limit, the applicant/beneficiary is income ineligible for MPP.

If the remainder is equal to or less than the allowable income limit, the applicant/beneficiary is income eligible for MPP.

Continue with the eligibility determination process.

Ineligible Spouse Deeming

If there is an ineligible spouse with income, complete budget steps 1 through 9 above using only the applicant/beneficiary income. If the income is greater than the MPP limit for one (1) person, the applicant/beneficiary is income ineligible and there is no deeming. Consider for MNP.

If the applicant/beneficiary's income is less than or equal to the MPP limit for one (1) person, apply deeming policy in [I-1420 Need - Deeming](#). Go to Step 1 of the couple budget.

Couple

If both members of a couple are categorically eligible, complete the following steps:

- Step 1. Determine the total unearned income by combining the couple's unearned income.
- Step 2. Subtract the \$20 SSI general income disregard.
- Step 3. The remainder is the couple's countable unearned income.
- Step 4. Determine the total gross earned income by combining the couple's gross earned income.
- Step 5. Subtract any remainder of the \$20 SSI disregard from gross earnings.
- Step 6. Subtract one earned income deduction from remaining gross earnings of the income unit. The earned income deduction is \$65 and one-half of the remainder of the earnings.

Step 7. The remainder is the couple's countable earned income

Step 8. Add the remainders in Step 3 and Step 7.

Step 9. The remainder is the total countable income.

Step 10. Compare total countable income to 200% FPL for two (2) persons. Refer to [MEM Z-200 Federal Poverty Income Guidelines](#).

If the remainder is greater than the allowable income limit, the applicant(s)/beneficiary(s) is/are income ineligible for MPP.

If the remainder is less than or equal to the allowable income limit, the applicant(s)/beneficiary(s) is/are income eligible for MPP. Continue with the eligibility determination process.

Exception:

If one spouse is in a nursing facility or receiving Waiver services and the other spouse is at home and not receiving Waiver services, consider income of each individual separately.

D. Determine MPP Program Premium Amount

The monthly premium amount is determined by comparing the total countable income to the monthly premium scale. Refer to [MEM Z-2500 Premium Program Income Limits](#).

<u>Income Range(% FPIG)</u>	<u>Monthly Premium</u>
<u>≤ 150%</u>	<u>\$0.00</u>
<u>> 150% - ≤ 200%</u>	<u>\$131.00</u>

The initial MPP premium begins the month after the beneficiary is determined eligible for MPP and is due by the 10th of that month. Premiums for all following months are also due by the 10th of each month.

The premiums will not be applied for the month of determination and any months before the decision month (including retroactive Medicaid eligibility). See [H-1800 Retroactive Medical Eligibility \(RME\)](#).

A premium is owed for each employed individual enrolled.

Federally recognized American Indians or Alaskan Natives do not pay a premium.

Upon notification that the premium is 60 days past due, an advance notice to close should be generated. Beneficiaries may pay outstanding payments prior to the effective date of closure to remain open to avoid gaps in coverage.

Once the closure becomes effective, the beneficiary is not required to pay any outstanding payments, and these will not be a factor when reapplying for benefits.

H-2120.5 Eligibility Decision

Evaluate all eligibility requirements and verification received to make the eligibility decision to either reject, close, certify, or extend eligibility.

H-2120.6 Certification Period

A MPP certification period shall not exceed twelve (12) months.

H-2120.7 Retroactive Eligibility

Coverage can start as early as three (3) months before application as long as all eligibility requirements are met.

H-2120.8 Notice of Decision

Send the appropriate notice of decision to the applicant/beneficiary.